

CASE No. 50-2014-CA-013268

(Breach of Contract / Specific Performance / Mandate Enforcement / Disqualification / Ejectment / Estate Issues / City Code Enforcement Issue / Continuance / Appellate Posture/ Recent Evidentiary Hearing / Order May 25, 2026 awarding Plaintiff Specific Performance, Denying crediting most of Payments Made to Defendants & Code Enforcement Fines)

Appeal is required to restore all Plaintiff's contractual rights.

ABSTRACT

Updated May 27th, 2026

This commercial breach of contract action arises from Plaintiff's timely exercise in 2014 of a binding option to purchase real commercial property under a Lease and Option Agreement. The trial court initially granted specific performance in Plaintiff's favor but later terminated Plaintiff's contractual rights based on a determination that Plaintiff had proposed "commercially unreasonable" terms. Whereas, as a matter of fact, it was Defendant who altered the contractual terms, not Plaintiff. The Fourth District Court of Appeal reversed that termination, holding that differing interpretations or proposed terms do not constitute material breach, and issued its Mandate on September 23, 2022, directing further proceedings consistent with its opinion and Florida law.

Since issuance of the Mandate, structural enforcement has been delayed. Although the trial court recently reinstated specific performance, it has not fully implemented the Mandate's requirements or resolved essential enforcement mechanics necessary to effectuate closing. Meanwhile, Defendants have resisted performance and filed a Motion for Ejectment despite the absence of any post-reversal breach finding, termination order, default, or possession ruling. Plaintiff has moved to dismiss.

The Court ordered an Evidentiary Hearing on April 28th, 2026, requesting the parties to notify the Court of motions each party wants reviewed, and ordered the parties to file memorandums, and other documents before the hearing for the Court to review. The Evidentiary Hearing was held, where the Defendants introduced at the hearing, without notice, two witnesses and documented evidence without serving Plaintiff, and did not copy or serve Plaintiff on the list of motions Defendants plan to discuss at the hearing Defendants wanted heard, i.e. *ex parte*. Plaintiff objected at the hearing, and later objected in a motion to strike. The Court proceeded with the hearing anyway.

On May 25th, 2026 the Court Ordered specific performance to Plaintiff, but denied crediting at closing almost all payments Plaintiff, wrongfully regarding these payments as rent, when the rent/lease part of the Agreement legally terminated at Plaintiff's exercise of its option in 2014 and was replaced by a purchase contract. Also, the Order requires Plaintiff to continue to pay rent and taxes until closing, which is unlawful. The delay in the case was not due to fault of Plaintiff. It is attribute:

- 1- defense counsel creating confusion in the case;
- 2- to date, defense counsel did not provide closing documents which comply with the binding terms of the Lease/Option Agreement;
- 3- Court unjust leniency with Defendants and defense counsel;
- 4- Court denial without reasoning of Plaintiff's motions to disqualify defense counsel;

- 5- Error of the Court in terminating Plaintiff's valid contract, forcing Plaintiff to appeal;
and
- 6- Court delay in implementing the Mandate for several years.

Still the Court unlawfully orders Plaintiff rental payments and taxes, even for the delays not attributed to Plaintiff. Plaintiff fulfilled its contractual duty when it exercised its option to purchase in 2014. Nothing in the binding contract or in Florida law requires anything else from Plaintiff.

The Court also ordered that Plaintiff be responsible for accrued City of Delray Beach ("City") fines regarding code enforcement violation ("Code Violation") for installing a roof without permit, entered two years after the Plaintiff's exercise its option to purchase, which Defendants themselves instigated. This is a matter of fact as evidenced by the City communications records Plaintiff filed more as proof than once in this case. Plaintiff also filed documented evidence that defense counsel expressly stated in emails to Plaintiff's counsel, that defense knows that Plaintiff has no standing at the City to defend the property, being not the property owner on record, and the defense is expressly planning to use the Code Violation at Court. Furthermore, there is no cause for the Code Violation, as neither the roof was replaced, nor any structural works were done to the roof. The same roof is still standing today since Plaintiff leased the property in 2010. This is a matter of fact, and further proof that the Code Violation was instigated and would not have been issued by the City on its own without the interference of Defendants, as a means of defaulting Plaintiff to unlawfully terminate its binding purchase contract.

During the course of case:

- 1- Plaintiff filed motions to disqualify defense counsel two times for fraud on the court and other misconduct. The Court denied both motions without supporting its decision by engaging the supporting evidence or showing how the standard was applied.
- 2- Plaintiff reserved its rights to reviewable court order, and filed notice of constitution objection to reserve its rights for breaching its constitutional rights.
- 3- Orders and litigation in this case did not address the Damages part of Plaintiff's complaint of breach of contract.

Plaintiff regards that: (1) the Evidentiary Hearing was an "ambush"; (2) depriving Plaintiff of credits for its payments is unlawful; (3) shifting the responsibility of the Code Violation was unlawful; and (4) appeal is necessary to enforce its contractual rights.

EXECUTIVE LITIGATION SUMMARY

I. NATURE OF THE ACTION

This action arises from a binding commercial Lease and Option Agreement executed between Plaintiff (Buyer/Tenant) and Defendants (Sellers/Landlords). The property is commercial. Plaintiff exercised its purchase option timely in 2014 pursuant to the controlling contract.

The contract did not condition exercise of the option upon advance payments prior to conveyance. Upon exercise, Plaintiff became equitably entitled to specific performance and conveyance under the agreed terms.

Defendants breached the contract by refusing to close and by presenting closing documents (Mortgage and Note) that materially departed from the controlling Lease and Option

Agreement. Those documents altered core economic terms, expanded collateral, inserted new default provisions, and omitted required amortization information.

II. TRIAL COURT PROCEEDINGS AND SPECIFIC PERFORMANCE

The trial court previously found that Defendants breached the contract and granted specific performance to Plaintiff in January 2020.

Despite that ruling, Defendants did not provide contract-compliant closing documents. Plaintiff nevertheless continued making payments—even beyond contractual requirements—to preserve its rights and avoid further pretext for termination.

Subsequently, the trial court terminated Plaintiff’s contractual rights, relying on a finding that Plaintiff had proposed “commercially unreasonable” terms. Those “proposed” terms, however, reflected the original controlling contract provisions.

III. FOURTH DISTRICT COURT OF APPEAL REVERSAL

Plaintiff appealed. The Fourth District Court of Appeal reversed the termination order.

The DCA held, in substance, that:

- A differing interpretation of contractual terms does not constitute a material breach.
- Proposing alternative terms does not justify termination of contractual rights.
- The trial court erred in terminating Plaintiff’s rights.

The Mandate issued September 23, 2022.

The Mandate commanded further proceedings consistent with:

1. The DCA opinion; and
2. The rules of procedure and laws of the State of Florida.

This reinstated Plaintiff’s contractual rights and restored the posture of specific performance.

IV. POST-MANDATE DELAY AND ENFORCEMENT ISSUES

Following issuance of the Mandate, the trial court did not immediately implement the appellate directive.

From September 2022 through May 24th, 2026:

- Specific performance was not structurally enforced.
- No order compelled compliant closing documents.
- Plaintiff filed multiple motions seeking enforcement of the Mandate.
- Defendants continued resisting compliance.

Only after sustained filings did the current judge enter an order stating: “Per the Order and Mandate issued by the Fourth District Court of Appeal, the Court reinstates Specific Performance in this case.”

However, that order did not comprehensively implement the Mandate’s structural requirements. It did not resolve:

- Closing mechanics,
- Payment crediting,
- Estate representation clarity,
- Enforcement structure,
- Protection against inconsistent future rulings.

Plaintiff has since moved to supplement and clarify the Order on Case Management Conference to align fully with the Mandate.

V. DISQUALIFICATION PROCEEDINGS

Plaintiff filed renewed and supplemental motions to disqualify defense counsel for fraud on the court and newly discovered misconduct.

The renewed motion relied on sworn transcript evidence of statements made during a prior hearing.

The trial court denied the motion without hearing and without express factual findings refuting the documented misconduct. The order stated that Plaintiff failed to meet the “clear and convincing” standard but did not identify:

- Which evidence was insufficient,
- Why the transcript-based evidence failed,
- Whether structural concerns were considered.

Defense counsel holds a dual role in the case:

- Litigation counsel for Defendants;
- Closing agent in the disputed transaction.

This dual-role creates structural conflict concerns given ongoing disputes about closing compliance.

A Motion for Rehearing has been prepared to:

- Request express findings,
- Clarify the legal standard applied,
- Preserve constitutional and structural arguments,
- Secure appellate clarity.

The Court denied the motion. Plaintiff filed its Petition at the DCA 4th, which was not successful to date, where Plaintiff’s counsel was requested to show cause why he should not be held in contempt for a clerical error in one case law out of 15. The DCA 4th affirmed the Court Order. Plaintiff was denied express finding for the lower Court order on a serious issue of fraud on the court which has been plaguing the case for a decade.

VI. ESTATE SUBSTITUTION ISSUES

Defendant Alexander Seredin, husband of Defendant Mona Seredin, passed away.

Defense counsel filed a Suggestion of Death significantly after the alleged date of death.

The Court entered an Agreed Order of Substitution replacing the deceased defendant with his Estate.

However to date:

- No personal representative information has been provided.
- No probate case information has been disclosed.
- No Letters of Administration were filed.
- Defense counsel filed an ejectment motion “on behalf of” the Estate without identifying authority.

Plaintiff has filed a motion to compel disclosure of estate representative information, or alternatively extend time, or appoint a neutral administrator ad litem if necessary.

VII. EJECTMENT MOTION

On February 16, 2026, Defendants filed a Motion for Ejectment seeking writ of possession.

The motion:

- Does not reference the DCA opinion.
- Does not reference the Mandate.
- Does not identify any post-reversal breach.
- Does not identify any termination order reinstating forfeiture.
- Does not reference any default, contempt, or possession order.
- Relies on uncertified copies of documents.

Plaintiff filed:

- Motion to Dismiss or Strike the Ejectment Motion.
- Notice regarding ejectment to prevent ambush.

- Preservation language grounding arguments in the Mandate.
- Strategically, the ejectment motion is procedurally inconsistent with reinstated specific performance and pending mandate enforcement.

VIII. EVIDENTIARY HEARING AND CONTINUANCE ISSUES

The Court scheduled a full-day Evidentiary Hearing for February 26, 2026 on “issues each party wants reviewed.”

The Court’s written order issued February 16, 2026—after expiration of the 30-day briefing window orally referenced January 5.

Plaintiff moved for extension of time; the Court denied that motion.

Plaintiff has now filed:

- Motion for Continuance grounded in structural due process concerns.
- Preservation language tied to the Mandate.
- Alternative request to convert to status conference.
- Appellate framing built into the record.
- Later the Court issued agreed Order for continuance (for different reason)

IX. CURRENT STRATEGIC POSTURE

The litigation posture now includes:

1. Although Court Ordered Specific Performance was reinstated and enforced on May 25th, 2026, but did not fully implemented structurally. Specific Performance and Mandate to comply with Florida law were not observed. The conflicts with the law are: (i) crediting of payments; (ii) Code Violation; and (iii) Evidentiary “trial by ambush”.
2. Mandate partially referenced but not fully enforced.
3. Disqualifications (two) denied without express findings.
4. Estate representative disclosure unresolved.
5. Evidentiary hearing scheduled under compressed preparation window.
6. Multiple enforcement motions pending.

X. APPELLATE PRESERVATION ARCHITECTURE

Plaintiff’s filings are structured to preserve:

- Mandate enforcement errors.
- Structural implementation deficiencies.
- Due process compression issues.
- Failure to enter express findings.
- Procedural inconsistency between reinstated specific performance and ejectment.
- Estate procedural irregularities.
- Denial of rehearing (if applicable).
- Any order affecting possession (appealable under Rule 9.130).

XI. OVERARCHING CASE THEME

This case is not merely a breach-of-contract dispute. It is a post-mandate enforcement case in which:

- Plaintiff exercised its contractual rights in 2014.
- Trial court terminated those rights in error.
- DCA reversed.
- Mandate issued in 2022.
- Structural implementation has lagged.
- Defendants continue to resist closing.
- Plaintiff seeks orderly enforcement consistent with appellate directive.

The proper procedural course remains:

- Fully implementation of the Mandate
- Completion of specific performance
- Adjudication of enforcement motions
- Not ejectment
- Not a second unlawful termination

XII. LEGAL AUTHORITIES

Court Order wrongfully denied Plaintiff crediting its payments at closing, which conflicts with the following Florida legal authorities, while at the same time rewarding Defendants (the breaching party) with payments they are not entitled to which is practically a reward of unlawful enrichment. The Order, in effect, altered the contractual purchase price. On the contrary, Florida law forbids rewarding the breaching party, or allow the courts to change the contractual terms of the contract.

COURT WORNGFULLY DENIED CREDITING AT CLOSING PAYMENTS DURING AGREEMENT EXTENSIONS, POST EXERCISE PAYMENTS, COURT ORDERED PAYMENTS, AND WRONGFULLY SHIFITING LIABILITY OF THE CODE VIOLATION.

1. Under Florida law, a lease containing an option to purchase is treated as an indivisible agreement. In *Sisco v. Rotenberg*, 104 So. 2d 365 (Fla. 1958), the Florida Supreme Court held that an option to purchase travels with a renewal or extension of the lease unless a contrary intent clearly appears. When a lease is extended under the same terms and conditions, the option remains operative during the extended term.
2. "Clearly, we are constrained by law to construe a contract as a whole so as to give effect, as here, to all provisions of the agreement if it can be reasonably done." See *McArthur v. A.A. Green & Co. of Fla.* (637 So. 2d 311, Fla. 3d DCA 1994). Furthermore, *Jones v. Warmack*, 967 So. 2d 400 - Fla: Dist. Court of Appeals, 1st Dist. 2007, holds that "In reviewing the contract in an attempt to determine its true meaning, the court must review the entire contract without fragmenting any segment or portion." *J.C. Penney Co., Inc. v. Koff*, 345 So.2d 732, 735 (Fla. 4th DCA 1977) (citing *Royal Am. Realty, Inc., v. Bank of Palm Beach & Trust Co.*, 215 So.2d 336 (Fla. 4th DCA 1968), and *Int'l Erectors, Inc. v. Wilhoit Steel Erectors & Rental Serv.*, 400 F.2d 465 (5th Cir.1968)).
3. Florida courts may not add limitations not expressed by the parties. *Savage v. Horne*, 31 So. 2d 477, 159 Fla. 301, (Fla. 1947), holds "It is fundamental that courts are powerless to rewrite contracts or interfere with the freedom of contracts or substitute their judgment for that of the parties to the contract in order to relieve one of the parties from the apparent hardships of an improvement bargain." *Windham v. Windham*, [152 Fla. 362](#), [11 So. \(2nd\) 797](#)).
4. Under Florida's law of the case doctrine, legal determinations that were made in earlier stages of the same litigation and were not reversed or modified on appeal govern subsequent proceedings. *Fla. Dept. of Transp. v. Juliano*, 801 So. 2d 101 (Fla. 2001)

“Under the law of the case doctrine, a trial court is bound to follow prior rulings of the appellate court as long as the facts on which such decision are based continue to be the facts of the case”. See *McGregor*, [162 So. at 327](#)

5. In *Hull v. Maryland Casualty Co.*, 79 So. 2d 517 (Fla. 1954), the Florida Supreme Court held that:

“By ordinary common-law principles, the doctrine of equitable conversion becomes operative upon entry of an agreement to convey title to realty. The vendee immediately becomes the beneficial owner, and the vendor retains only naked legal title as security for payment of the purchase price.”

6. When a seller refuses to close after a valid exercise of an option, the purchaser is entitled to specific performance together with equitable accounting to place the parties in the position they would have occupied had closing occurred as required. *Coppola Enterprises, Inc. v. Alfone*, 531 So. 2d 334 (Fla. 1988).

7. “[T]he general rule is well settled that, where the contract is not completed until after the time stipulated for that purpose, but the court nevertheless decrees a specific performance, it will adjust the equities of the parties by placing them as far as possible in the same position which they would have occupied had the agreement been completed at the prescribed day.” *Salinas v. Rieck & Fleece Builders Supplies, Inc.*, 109 So. 2d 394 (2nd DCA 1959).

Had Defendants conveyed title in 2014 as required at Plaintiff’s exercise of its option:

The mortgage would have commenced;

Monthly payments of \$3,000 would have begun;

Each payment would have been applied to principal and interest, according to the contractually required amortization schedule, pursuant to the Promissory Note and the Mortgage and Security Agreement.

8. Florida law prohibits a party in breach from obtaining a better economic result through its own refusal to perform.

“A seller will not be permitted to profit from his breach of a contract with a buyer, even [*336](#) absent proof of fraud or bad faith.” *Coppola Enters., Inc. v. Alfone*, 531 So. 2d 334 (Fla. 1988).

9. Under the Lease/Option Agreement and controlling Florida law, when Plaintiff exercised its option to purchase in 2014, the lease terminated and the parties became bound by an executory contract for sale. The buyer became the equitable owner, and the seller retained only naked title. In *Pensacola Wine & Spirits Distillers, Inc. v. Gator Distribs., Inc.*, 448 So. 2d 34 (Fla. 1st DCA 1984), the Court held that “The trial court correctly concluded that a lease is terminated when an option to buy is exercised. The vendee then becomes an equitable owner of the property pursuant to an executory contract.” *Atlantic Beach Improvement Corp. v. Hall*, [143 Fla. 778](#), [197 So. 464](#) (1940).

10. *Twelfth Avenue Investments, Inc. v. Smith*, 979 So. 2d 1216 (Fla. 4th DCA 2008) held that “Where there is an option to purchase, the lessee's act of noticing the lessor of the lessee's decision to purchase the property is all that is required to exercise that option. *Doolittle v. Fruehauf Corp.*, [332 So.2d 107, 109](#) (Fla. 1st DCA 1976). Once notice is given, ‘the option became a bilateral contract, binding on both parties, and susceptible of enforcement by a court of equity in a suit for specific performance.’” [Id](#)

As the equitable owner, Plaintiff was not obligated to continue making lease or rent payments to Defendants. The Agreement, now operating as a purchase contract, obligated Defendants to provide a loan mortgage and obligated Plaintiff to make monthly payments under that mortgage upon closing. No contractual payments were due from Plaintiff directly to Defendants after exercise of the option except for mortgage payments.

11. Florida law does not permit a seller in default to retain the buyer's payments as a forfeiture. When the buyer is entitled to specific performance or equivalent equitable relief, the court requires an accounting, and the buyer's prior payments must be credited.

Taken together, *Pensacola Wine & Spirits Distillers, Inc.* and *Twelfth Avenue Investments, Inc.* establish that once a lessee validly exercises an option to purchase, the lease is terminated and replaced by a bilateral executory contract for sale. The buyer becomes the equitable owner of the property, while the seller retains only bare legal title subject to the duty to convey. Because the parties are thereafter bound by a purchase contract—not a leasehold—the seller has no right to demand or retain “rent” or “lease payments” from the buyer.

Neither the Order can award such payments to Defendants contrary to the terms of the contract, because “It is fundamental that courts are powerless to rewrite contracts ...” as stated by *Savage v. Horne*.

In *Gevas v. Fernandez*, 905 So. 2d 149 (Fla. 3rd DCA, 2004) the Court held that “It is well settled that a seller cannot take advantage of a delay in performance that he or she created. See *Forbes v. Babel*, 70 So.2d 371 (Fla.1953); *Harrison v. Baker*, 402 So.2d 1270 (Fla. 3d DCA 1981); *Smith v. Crissey*, 478 So.2d 1181 (Fla. 2d DCA 1985). Here, the Sellers' own conduct prevented the closing from taking place, and therefore, the Buyer was entitled to the relief of specific performance.” Here, Defendants delayed the closing.

Therefore, the only permissible construction of the Order is that the payments were to be credited. Any payments made by the equitable owner after exercise of the option must be treated as advances toward the purchase obligation and credited in the final accounting; they cannot be retained by the seller as a forfeiture or windfall.

N.B. See enclosed case docket.